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28th August 2014

The Chief Executive
Capital Markets Authority,
Embarkment Plaza 3rd Floor
Longonot Road
Upper Hill

Dear Mr. Muthaura,

RE: HOME AFRIKA GROUP 2014 HALF YEAR RESULTS

Enclosed herewith is Home Afrika's Group unaudited half year results for the half year ended 30th June 2014 which will be published in the dailies.

Yours sincerely,

Njoroge Nganga
Chief Executive Officer

cc. The Chief Executive,
Nairobi Securities Exchange
55 Westlands Road
Westlands
Nairobi



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STATEMENT

The Board and Management of Home Afrika Group are pleased to present its unaudited financial results for the half year ended 30th June 2014.

During the period under review, revenues increased by 13% from Ksh. 486.67mn to Ksh.550.42mn attributed to increased sales activities across the projects. Cost of sales increased from Ksh 168mn to Ksh. 326.38mn arising from increased sales and a change in mix of commercial and residential property sales resulting in a decrease of gross profit from Ksh 319mn to Ksh. 224mn in the period under review.

Included in administration costs are one off expenses and the impact of the substantial activity in business operations and the various projects resulting in an increase of 88% in the period under review. Despite this, there was a decline in selling and distribution expenses by 42% due to increased efficiencies in the business. Other operating income which primarily comprises fair value gains on investment property reduced by Ksh 37mn due to the limited growth in property prices across the economy in the first half of 2014.

The company achieved a profit before tax of Ksh. 68.2mn and a Profit after tax of Ksh. 42.9mn in the period under review.

The financial statements have been prepared on the basis of IFRS policies which take into account the percentage of completion of the underlying projects consistent with the audited financial statements for the year ended 31 December 2013.

OUTLOOK

The board and management are very positive about the Real Estate Industry going forward after a challenging first half. The company's inventory pipeline and valuations continue to be strong as financing options widen.

The Management has continued to focus on the efficiencies that came as a result of the major restructuring and strategic planning the company undertook in 2013.

With the increased activity in the various projects supported by anticipated stable macro-economic environment, the management is optimistic of even stronger growth in revenue and profitability during the second half of 2014.

DIVIDEND

The Board does not recommend the payment of an interim dividend.

By Order of the Board

Njoroge Nganga

Chief Executive Officer.

28th August 2014

Directors: Lee Karuri (Chairman) Dr. Mbira Gikonyo (Vice Chairman), Lucie Maina, Eng. Mbugua Kamau, Dan Awendo, Paul Nguru, Doris Murimi, Nyagah Kithinji, Jane Adam, Mbugua Gecaga and Ketan Shah

Home Afrika Limited

Annual report and consolidated financial statements

For the 6 month period ended 30 June 2014

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	6 months to 30 June	
	2014	2013
	Shs '000'	Shs '000'
Revenue	550,420	486,672
Cost of sales	<u>(326,383)</u>	<u>(167,352)</u>
Gross profit	224,037	319,320
Other operating income	8,561	45,954
Selling and distribution expenses	(18,296)	(31,706)
Administrative expenses	(125,589)	(66,638)
Other operating expenses	<u>(15,579)</u>	<u>(10,992)</u>
Operating profit	73,134	255,938
Finance costs	<u>(4,906)</u>	<u>(4,405)</u>
Profit before tax	68,228	251,533
Tax charge	<u>(25,319)</u>	<u>(96,041)</u>
Profit for the period	<u>42,909</u>	<u>155,492</u>
Total comprehensive income for the period	<u>42,909</u>	<u>155,492</u>
Profit attributable to:		
- Owners of the parent	30,696	75,652
- Non-controlling interest	<u>12,213</u>	<u>79,840</u>
	<u>42,909</u>	<u>155,492</u>
Earnings per share		
- basic and diluted	<u>0.08</u>	<u>0.19</u>

Home Afrika Limited
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2014

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	As at 30 June 2014 Shs '000'	As at 31 December 2013 Shs '000'
EQUITY		
Share capital	405,255	405,255
Share premium	68,842	68,842
Accumulated deficit	(136,598)	(167,294)
Equity attributed to owners of the company	337,499	306,803
Non-controlling interest	44,836	32,623
Total equity	382,335	339,426
Non-current liabilities		
Preference share capital	75,000	75,000
Deposit for shares	225,704	184,042
Borrowings	298,312	123,252
Deferred tax	117,553	117,465
	716,569	499,759
	1,098,904	839,185
REPRESENTED BY		
Non-current assets		
Property and equipment	74,703	77,427
Investment property	563,199	555,920
Intangible assets	3,829	4,457
Financial assets	2	2
	641,733	637,806
Current assets		
Inventories	2,121,141	2,192,792
Trade and other receivables	291,339	210,457
Cash and cash equivalents	16,740	23,393
	2,429,220	2,426,642
Current liabilities		
Deferred income	662,298	313,253
Trade and other payables	1,209,178	1,766,479
Borrowings	82,035	136,273
Tax payable	18,538	9,258
	1,972,049	2,225,263
Net current assets	457,171	201,379
	1,098,904	839,185

Home Afrika Ltd.

Annual report and consolidated financial statements

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CONSOLIDATED STATEMENT OF CASH FLOWS

	6 months to 30 June	
	2014	2013
	Shs '000'	Shs '000'
Operating activities		
Cash (used in) operations	(147,600)	(108,315)
Interest paid	(4,906)	(4,405)
Tax paid	(15,178)	(2,905)
Net cash (used in) operating activities	(167,684)	(115,625)
Investing activities		
Cash paid for purchase of property and equipment	(1,189)	(2,599)
Cash paid for purchase of intangible assets	(266)	(475)
Interest received	-	385
Net cash (used in) investing activities	(1,455)	(2,689)
Financing activities		
Dividend paid	-	(17,856)
Proceeds from:		
- borrowings	180,018	100,000
- deposits for shares	44,383	84,502
Repayment:		
- borrowings	(57,452)	(101,292)
- finance lease deposit for shares	(1,743)	(1,564)
- shareholders loan	(2,720)	-
	-	(100)
Net cash from financing activities	162,486	63,690
(Decrease) in cash and cash equivalents	(6,653)	(54,624)
Movements in cash and cash equivalents		
At start of period	23,393	153,079
(Decrease)	(6,653)	(54,624)
At end of period	16,740	98,455